

to provide advice, don't they? More generally, the most fundamental question one must answer is do you *trust* the advisor? Of course, as the great Ernest Hemingway quipped, “The best way to find out if you can trust somebody is to trust them.” But now we are faced with a chicken-and-egg problem. On the one hand, we want to work with someone trustworthy, but on the other hand, maybe we need to work with someone first to ascertain if they are trustworthy. What should we do?

We're not sure we agree with Mr. Hemingway, at least in this context. Blindly following someone's advice and then evaluating them after the fact might not be an ideal approach, but is one that many follow. Identifying who is trustworthy, without having worked with them before, is a highly subjective activity that allows experts an opportunity to exploit our vulnerabilities. And even if we have worked with them before, establishing trust in them is sometimes simply a matter of feelings or personal opinion. Yet as we move from observing tangible, performance-related outcomes, to more subjective approaches involving “trust,” we can get into trouble. The problem is that we sometimes trust advisors based on criteria that have nothing to do with their competence. Our trust can be misplaced. That is, we may consider an advisor to be trustworthy, and thereby view the person with approval, when in fact we are getting bad advice. As it turns out, this happens all the time.

In *Individual Judgment and Trust Formation: An Experimental Investigation of Online Financial Advice*, a working paper by Julie R. Agnew et al., the authors explore how trust is related to the assessment of advisor performance. The research highlights some surprising factors that influence our evaluations of an advisor's quality. In what should not be a surprise at this point, many individuals' evaluation metrics are entirely unrelated to the quality of advice given. As a side note, while the research was conducted in Australia, we have few doubts that it reflects realities here in the United States as well.

Should We Really Trust Anyone?

The paper illuminates many of the factors that lead people to trust advisors. For instance, the authors find that people prefer younger advisors. Is this a reliable criterion for assessing trustworthiness? They also prefer people who have professional certifications. However, given the blizzard of existing